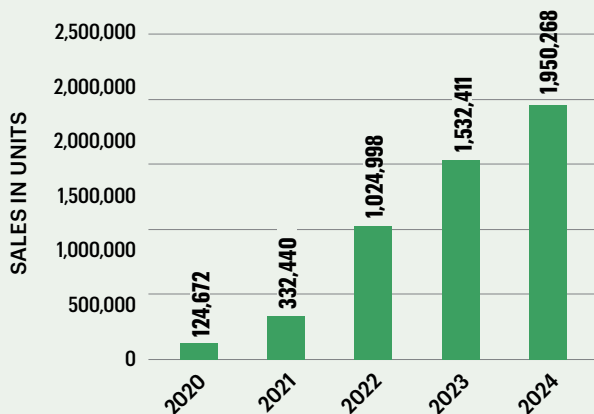


BIG JUMP

• In 2024, EV sales in India breached 1.94 million units, but EVs' market share in the domestic auto industry hovers at 2-3%



SOURCE VAHAN

172 | end of this year, reducing to 5% in 2026-27.

Over the past 15 years, Chinese EV makers have received \$231 billion in subsidies. And unlike in other markets, in China, EVs are cheaper than gasoline-fueled cars. While EV prices have risen in Europe from €48,942 in 2015 to €55,821 in 2024, and US from \$53,038 to \$63,864, they have dropped in China from \$66,819 to \$31,829. Lower costs stem from domestic lithium-ion cell production, which reduces capital costs. Batteries alone account for 30% of an EV's cost.

China also has an extensive network of 3.2 million charging stations, addressing the range anxiety drivers harbour about batteries dying in the middle of their journey.

India's EV infrastructure is comparatively in its infancy, with just 25,202 charging stations in a country of 1.4 billion people. According to the Ministry of Heavy Industries, ₹10,900 crore in subsidies have been allocated to promote electric two-wheelers and three-wheelers, e-ambulances, e-trucks and other vehicles, excluding electric cars, under the PM-E Drive scheme for a period of two years until March 31, 2026.

EXPANDING THE MARKET

Domestic automakers welcome the competition from BYD and other Chinese EV makers.

BYD operates in the premium segment, in which cars are priced above ₹30 lakh. The company may reconsider

its earlier stance on not entering the mass market segment, according to multiple media reports. The mass market segment, in which EVs are priced between ₹10 lakh and ₹20 lakh, is expanding aggressively. Most domestic automakers have launched their EVs in this price segment.

"Competition has come a bit late, but possibly it is also coming at a time when EV prices are also coming closer to ICE vehicle prices because of the overall cost structure reducing," says Shailesh Chandra, Managing Director of Tata Motors Passenger Vehicles and Tata Motors Electric Mobility. ICE is short for internal combustion engine. "Competition is a good thing because it is going to expand the market," he adds.

Kia India, which plans to achieve 15-16% EV penetration by 2030, concurs. "Any new players bring their strength to the industry. Chinese are good in EVs, so I think they bring in the technology that could be good for the industry," says Hardeep Singh Brar, Senior Vice President and head of sales and marketing at Kia India.

Analysts observe that India's EV market has vast potential. "While competition is increasing, Indian consumers will ultimately choose the most affordable and efficient option. BYD's entry adds diversity to the market, driving innovation and enhancing consumer choices," says Saket Mehra, Partner and Automotive Lead at Grant Thornton Bharat.

Notably, except for Maruti Suzuki, most automobile manufacturers will initially focus on growing in the domestic EV market, before venturing overseas. Maruti Suzuki, which its first EV, e-Vitara, at the Bharat Mobility Global Expo in January, will focus on exports to Japan and Europe.

Three Chinese companies—BYD, SAIC Motor Corp and Geely Holding Co—already have a strong presence in the European market. Maruti Suzuki is betting on Japanese quality giving it the edge.

"Suzuki has Japanese manufacturing. If our manufacturing quality is accepted globally, then I think we will be able to win over the competition in the export markets," says Toshihiro Suzuki, representative director and President at Suzuki Motor Corporation.

According to Mehra, the export strategy for domestic automakers should be building a competitive edge through localisation, innovation, and cost efficiency. "Rather than caution, strategic adaptation—leveraging policy support, expanding manufacturing, and strengthening supply chains—will be the key to establishing a strong global presence," says Mehra.

Elon Musk's Tesla, the world's largest EV manufacturer, is also eyeing India.

After Musk met Prime Minister Narendra Modi on